

Growth Circle Weekly Heavy Machinery Networking Meeting Minutes — Friday, May 22, 2026

****Date:**** Friday, May 22, 2026 (7:00 AM start)

****Format:**** Live group call · recorded

****Duration:**** Approximately 60 minutes

****Facilitator:**** Ben Oliver (standing Friday-meeting host; not explicitly identified in source notes — confirm against recording)

****Key presenters:**** Sheryl Flynn (30+ year leasing industry veteran; tax lease consultant; first-year Growth Circle member; raised the core property tax issue) · Jack Tench (inactive CPA; built personal financial model layering property tax into the program economics)

****Named participants:**** Sheryl Flynn, Jack Tench, Vishal, Arcana, Joss Renaud, Kevin, Christian Bravo, Andrew, Jamie, Derek

****Recording status:**** Recorded; expected to be posted approximately one hour after the call

****Distributed materials:**** Sheryl Flynn's emailed correspondence with EZ Equipment Zone (shared in the Growth Circle forum thread on sales and property tax); Jack Tench's personal financial model layering BPPT into the program's standard \$400k scenario (referenced verbally during the call and via the centralized BPPT forum thread Jack created; not yet posted in the forum as a downloadable file at the time of the meeting)

Meeting overview

The meeting's overarching theme was a substantive working session on previously-unaddressed transaction-tax obligations within the EquipmentShare / EZ Equipment Zone Advantage Flex Heavy Machinery program — primarily business personal property tax (BPPT) at the equipment-location level, and secondarily the structural ambiguities in how sales tax exemption and collection are handled. These issues had not surfaced in prior Growth Circle education materials or scenario snapshots, and were brought forward this cycle by Sheryl Flynn (a first-year Growth Circle participant with 30+ years of leasing-

industry tax expertise) and centralized for group analysis by Jack Tench (an inactive CPA who built personal financial modeling on the impact).

A substantial portion of the call walked the mechanics of BPPT — assessment-date timing, jurisdictional self-reporting, de minimis thresholds, piece-by-piece equipment assessment across states, and detection mechanisms. Sheryl repeatedly distinguished between income-tax obligations (which follow the entity and its state of formation) and transaction-tax obligations (which follow the asset and its physical location), and clarified that out-of-state LLC registration — a common Growth Circle structural choice — does not shield equipment owners from BPPT. Jack walked his modeling work showing a 1% BPPT assumption applied against the program's standard \$400k scenario substantially erodes the cash-flow cushion in the deal, leaving primarily the tax-savings layer as the economic justification.

Other substantive threads included Kevin's question about optimal bonus depreciation sizing relative to the standard deduction (with Jack walking the income-preservation concept and the income-phase-in benefits of dropping into lower brackets), a revisit of the IRC §183 hobby-loss concern (raised by Joss Renaud as a California-specific issue), an action-items consolidation around Salt Lake City as the deadline for getting definitive answers from Braiden Shaw and Garrett Maughan on BPPT, and banking/entity-structure discussion driven by new-participant questions.

The headline takeaway: previously-unaddressed transaction-tax obligations may materially affect the program's net economic returns, the responsibility for compliance falls on individual equipment owners regardless of LLC state of formation, and the group has agreed to hold Braiden and Garrett accountable at the Salt Lake event for the formal tax-attorney guidance Braiden has committed to producing. The meeting demonstrated a working-group dynamic with explicit professional-scope disclaimers: Sheryl is not a tax advisor and was sharing her own risk-assessment perspective; Jack is an inactive CPA offering off-the-cuff perspective not formal tax advice.

1. Business Personal Property Tax (BPPT) — the central topic

Sheryl Flynn opened the property-tax thread by introducing her professional background: 30+ years in the leasing industry, approximately \$100 billion in lease portfolios managed, first year in Growth Circle (joined approximately November of the previous year), already participated in workforce housing, still evaluating heavy equipment specifically because of these unresolved tax questions. Sheryl emphasized repeatedly that she was sharing analysis from her own risk-assessment perspective, not telling others what to do, and that each participant needs to make their own determination on compliance.

Mechanics of the tax

- ****Assessment date.**** Most states use January 1 as the assessment date — wherever the equipment physically sits at 12:01 AM on January 1 determines tax liability for the entire year, regardless of where the equipment moves subsequently. Sheryl noted that while January 1 is the dominant convention, some states use different assessment dates, so the rule is not uniform and requires state-by-state verification.

- ****Filing responsibility.**** Falls on the equipment owner (the LLC), regardless of where the LLC is registered. Sheryl emphasized that out-of-state LLC registration does not shield the owner from this obligation, because sales and property taxes are transaction taxes tied to the physical activity and location of the property — not entity-based taxes tied to the business's headquarters. Her formulation: **income taxes follow the entity; transaction taxes follow the asset and the activity.**

- ****No proactive outreach.**** Jurisdictions do not contact owners to remind them to file. It is a self-reporting obligation. Failure to file does not extinguish the obligation; penalties grow over time if eventually discovered.

- ****Equipment vs. real property.**** This is property tax on business personal property (equipment, machinery) — not real estate. The rules differ meaningfully from residential property tax most participants are familiar with.

- ****Annual filing requirement.**** Even if equipment qualifies for a de minimis exemption, some states still require a return to be filed claiming the exemption.

De minimis thresholds

Sheryl shared a list of state de minimis thresholds with the explicit disclaimer that the list came from an AI lookup and should be verified independently before being relied on:

- **Arizona / Colorado:** \$50,000
- **Indiana:** approximately \$2 million (notably high)
- **Michigan:** \$80,000
- **Florida / Georgia / Kansas:** \$1,500 (notably low)
- **Kentucky and others:** vary

The wide variance (\$1,500 to \$2 million) means the same equipment portfolio could be fully exempt in one jurisdiction and fully taxable in another. Jurisdictional placement decisions are not in the owner's direct control — EquipmentShare allocates pieces of equipment to specific locations within its rental network.

The \$400k entry-point versus per-piece assessment

This was one of the most clarifying moments of the meeting. The \$400k figure that participants often discuss is the entry point into the shared rental pool, not a single asset value. EquipmentShare allocates the \$400k across multiple individual pieces of equipment. One participant pulled up his EZ Equipment Zone invoice live during the call and described his holdings: approximately five pieces ranging from \$25,000 to \$250,000 totaling \$400,000. Each individual piece of equipment is assessed in its own jurisdiction against that state's de minimis threshold — meaning some owners may fall below thresholds in certain states for certain pieces, even if their total portfolio is well above any threshold.

Examples shared on the call:

- The live invoice showed approximately one \$25k piece, one \$250k piece, one \$150k piece, and additional smaller pieces totaling \$400k
- Highest single piece mentioned: a boom lift at approximately \$170k
- One participant noted four pieces ranging \$80k–\$120k spread across different states
- Example geographic distributions cited: Orlando, Miami, and Dallas simultaneously
- Equipment can move between states (e.g., Dallas for three months, then Arkansas) but only the January 1 location matters for that tax year

An analogy offered on the call: similar to how a professional athlete pays different state taxes based on where games were played, but the equipment version is simpler because it is a single-day snapshot rather than apportionment across time. (One participant referenced a family member — a former catcher for the Angels — as the prompt for the analogy.)

This piece-by-piece, state-by-state analysis significantly complicates compliance planning while also opening potential exemption opportunities the group had not previously considered. Sheryl noted she would need to evaluate each state's specific de minimis rules against her individual asset mix to know her real exposure — there is no shortcut.

Detection mechanisms

Jack Tench asked the practical question of how counties even know equipment is in their jurisdiction. Several detection mechanisms were discussed:

- Construction companies operating in a jurisdiction must file permits that include inventory of equipment being used on the project
- Lessees in a jurisdiction are required, when filing their own business personal property returns, to disclose who they are leasing equipment from — creating a cross-reference trail back to the actual owner

- Sheryl shared an anecdote: assessors have been known to watch train yards on January 1 and record registration numbers of trains rolling through their jurisdictions, illustrating how creative and aggressive assessors can be
- Jack noted that jurisdictions have "methods and tools for cross checking" the presence of equipment
- Penalties grow if discovered a year or two later — Jack characterized this as potentially "scary" with accumulated back taxes and interest
- Jack offered a framing disclaimer: "not that I want to commit tax fraud or something" — clarifying that the conversation was about understanding exposure, not avoiding obligations

Braiden Shaw's position

Vishal raised the property-tax question on the Tuesday (2026-05-19) call. Multiple participants independently noted that Braiden Shaw's facial expression during that exchange suggested he had no prior awareness of the issue. Braiden subsequently acknowledged in the group chat that he has never paid property tax in the years he has been running this strategy — though as the group noted, his not having paid does not mean it is not owed; it may simply mean he has not been caught or audited.

Braiden's earlier guidance — "have your LLC in a different state than the equipment" — actually addresses sales tax (not property tax), and even for sales tax it does not fully protect since these are transaction-based taxes. Braiden has acknowledged the BPPT issue in the chat and committed to getting one of the tax attorneys who wrote the opinion letter to provide formal guidance.

Sheryl reached out to Braiden directly via private message before going public in the group chat and never received a response; she only got engagement once she raised the issue publicly. The group noted this as a pattern — Braiden tends to respond faster in group chats than direct messages, possibly because he needs to research before responding when he does not know the answer.

The group expressed mild concern that the program has been running for "a number of years" with "an army of tax professionals and tax strategists" and yet this issue had not previously surfaced. Jack found the omission surprising and noted his curiosity about what Braiden has actually been doing with property taxes — the simple answer could provide useful guidance regardless of the technical correctness.

Contract language and inconsistencies

Easy Equipment Zone contract language reportedly states explicitly: the owner is directly responsible for filing and paying property taxes. Sheryl viewed this as tacit acknowledgment from the operating companies that the obligation exists, even if it has not been highlighted in marketing or education materials.

During the 2026 pitch, Reid pulled up his T3 showing his own equipment had been moved between states (e.g., from Destin, Florida to another state). The presenters acknowledged the geographic mobility of equipment without flagging the property-tax implications. The original 2025 rainmaker pitch did touch on tax exposure but primarily framed it as a sales-tax consideration solved by out-of-state LLC structure — not property tax. The group generally trusted Braiden's prior experience and did not dig deeper at the time. As one participant put it, it was "a little bit more of a trusting situation."

Active forum threads

Two parallel Growth Circle forum threads have emerged:

- ****Sheryl Flynn's thread:**** Where Sheryl and Jack have been going back and forth on the issue, including Sheryl's emailed correspondence with EZ Equipment Zone

- ****Jack Tench's thread (titled "Heavy Machinery Property Taxes (BPPT))":** Searchable in the platform by "BPPT" (business personal property tax). Jack created this to centralize dialogue and dropped in the scenario snapshot Braiden originally shared, asking Braiden directly whether there is an assumption missing for BPPT or whether it is a real concern. Sheryl posted "I agree with your analysis" in the thread.

2. Sales tax structure concerns (still unresolved)

Sheryl Flynn has been pressing EZ Equipment Zone and EquipmentShare for clarity on the transaction structure and has not received satisfactory answers. She is uncomfortable proceeding into heavy equipment until this is documented properly.

How a lease transaction should work in principle

- The owner acts as the lessor, purchasing property for the purpose of rental or lease
- That purchase should generally qualify for sales-tax exemption — but only if proper exemption documentation is filed at the time of purchase
- The lessor then collects and remits sales tax on the monthly rental payments charged to end customers
- EquipmentShare is responsible for collecting and remitting tax on rentals — to the extent they are doing this correctly, the structure works because EquipmentShare knows where the equipment is being used by the end customer

What is unclear in the program's implementation

- The actual transaction structure (sale-leaseback vs. straight purchase), which significantly changes the tax treatment
- How EZ Equipment Zone is providing exemption certificates "on behalf of" the equipment owner who is supposed to be the lessor
- Whether there is a formal servicing arrangement that authorizes this delegation
- That the owner is ultimately responsible yet does not appear to be the party providing exemption certificates — creating a documentation gap that could be exposed in an audit

- Sheryl's response when told "EZ provides resale certificates to EquipmentShare": "Okay, well, okay, I get that. But how is it that the servicing company is providing that exemption certificate on my behalf?"

EZ Equipment Zone's response (per Sheryl's email correspondence shared in the forum thread)

Sheryl's emailed inquiry was responded to by Matt at EZ Equipment Zone. Key elements from the response:

- The equipment is sold by EquipmentShare first to EZ Equipment Zone LLC under EquipmentShare's standard OWN PROGRAM EQUIPMENT SALES Terms and Conditions, and then ultimately to the individual end-owner / participant
- Title passes to the Owner on the Effective Date, but possession and operational control remain with EquipmentShare for the duration of the program term
- EZ acts as platform administrator under the Advantage Flex Program Agreement (the "Platform Agreement") and has entered into a master Own Advantage Flex Asset Management Agreement (the "AMA") with EquipmentShare.com Inc.
- Per Section 8 of the Platform Agreement, the Owner is responsible for promptly paying all personal property taxes, license and registration fees, and any other taxes or fees associated with ownership of the Equipment
- Equipment location information is available to the Owner via T3 access; EquipmentShare will provide the Owner (via EZ) with access to equipment location reports upon request to assist with required tax filings
- There is no centralized "EquipmentShare-filed" personal property tax return on behalf of Owners — each Owner must handle their own reporting and payment using location and usage data provided
- Per Section 6 of the AMA: "EquipmentShare will collect applicable sales and/or use taxes from renters when required to do so by applicable law"
- EquipmentShare enters into the Rental Contract directly with the end-user renter as the marketplace operator and handles billing, collection, and remittance of sales/use tax on rental transactions

- The AMA does not contain detailed descriptions of EquipmentShare's internal remittance process, audit procedures (actual vs. extrapolated assessments), or exact pass-through mechanics for audit adjustments, penalties, or interest — Sheryl was told that information would have to come directly from EquipmentShare
- For the original purchase, EZ confirmed it maintains required Sales and Use Tax Exemption Certificates on file with EquipmentShare (Missouri law governs the exemption process; EZ and EquipmentShare are both Missouri-based)
- Matt's email explicitly noted that EZ "is not a tax advisor and does not provide tax, legal, or accounting advice" and recommended consulting with individual qualified tax professionals (and potentially EquipmentShare's tax/compliance team directly for operational details)

Title and ownership concerns

Participants confirmed they had never received any title transfer or formal ownership document beyond an invoice. One participant noted they still have a business loan outstanding, similar to how vehicle titles are held by lenders until loans are paid off due to the lien. Sheryl acknowledged there could be titling trusts or other structures in play, but the lack of transparency about the ownership and titling mechanics adds risk. From a legal perspective, the responsibility falls on the owner even if the equipment is not titled in their name — but the practical accountability becomes harder to manage when the paperwork trail is unclear.

Audit-risk considerations

- Most states use extrapolated audits — they pick a sample of transactions, identify under-collection, and project the assessment across the full population, often producing assessments far larger than the actual sampled shortfall
- If EquipmentShare has under-collected sales tax, who bears the resulting assessment? Does it flow back to the owners (since they are the legal lessors of record), or does EquipmentShare absorb it? Sheryl received no answers despite asking directly

- Without clarity, owners are taking on potentially significant unquantified exposure with no clear indemnification path

Sheryl's overall posture

In a forum post summarizing her view, Sheryl framed the property-tax issue as straightforward: if you have business assets operating in a state that imposes personal property taxes, there is generally a legal obligation to register and pay. She was unsure why these issues had not surfaced before in the program. Each participant will need to decide their own comfort level with compliance — some may choose to file and pay, others may not — and regardless of that choice, the potential liability should be factored into the decision. Sheryl noted her personal lean was that she would file. She also corrected the prior framing that out-of-state LLC structure eliminates the issue: sales and property taxes are generally based on the physical location of the asset, and while some states have de minimis thresholds, equipment valued at \$500,000 and above will almost always exceed those thresholds.

3. Financial impact analysis (Jack Tench's modeling)

Jack Tench framed himself explicitly as an inactive CPA offering off-the-cuff perspective and "not tax advice — this is just my perspective off the cuff. I'm familiar with this stuff. But I don't consider myself necessarily an authority on it."

Approach

Jack built a personal financial model layering property tax into Growth Circle's scenario snapshots:

- Used a 1% property tax assumption applied to fair market value

- Fair market value decreases each year as the equipment depreciates, so the property tax bill also decreases over time
- 1% is roughly mid-range based on what one might expect across jurisdictions — Jack chose it as a reasonable middle-of-the-road estimate, not a worst case

Key results

- Over 6 years, the deal still generates approximately 13% return when factoring in the tax savings from bonus depreciation
- The 1% property tax assumption effectively eats up nearly all the excess cash flow from Braiden's baseline scenario — Braiden's snapshot showed approximately \$10,000 cash flow over 6 years before property-tax considerations, in the "buy \$400k and don't re-up" scenario
- Jack characterized the situation as: in a worst-case scenario, the property tax burden could cause owners to "get hammered"

Jack's direct question to Braiden (in the forum thread)

Jack posted in the BPPT forum thread, addressing Braiden directly:

> "Your Heavy Machinery Example Scenarios (attached) does not include any assumption for BPPT. You are adding an additional \$12,772 in 'cash flow over life of loan' to the Total Net Benefit Calc. If I assume ~1% BPPT of the Equipment's Assessed Market value over the life of the loan, I come close to \$11k owed in BPPT, completely wiping out your Cash flow over life of loan assumption. So either your scenarios are missing a BPPT assumption, or we don't need to pay BPPT due to the structure of this arrangement."

Jack also noted in the forum that during the first year, no BPPT is owed because the equipment is purchased past January 1, so no county can claim taxation rights for that year — a small offset against the multi-year burden.

Two biggest levers

1. ****Tax-savings magnitude**** — driven by individual income tax bracket, tax return structure, ability to itemize, eligibility for credits. Highly personal and varies dramatically across participants.
2. ****Property-tax exposure**** — driven by where the equipment physically operates. Worst case is all equipment concentrated in a high-rate jurisdiction. Jack's specific example: counties in Texas could levy approximately \$7,000 BPPT on a \$400k piece of equipment, while Kansas effectively charges zero. Under a "worst case" scenario, \$7k property tax over 5 years is a meaningful hit to the total economic benefit.

If sales tax remains correctly handled by EquipmentShare (a meaningful "if"), that lever is removed from the picture.

Jack's overall view: the economic benefit of the strategy still makes sense when tax savings are included, but the margin of safety is thinner than the original pitch suggested. The "13% return" headline is durable but the underlying cash-flow assumptions are fragile.

4. Tax-strategy optimization — bonus depreciation sizing

Kevin (a new participant with approximately \$430k annual income) asked how to think about optimal loan sizing — specifically whether to take a larger loan that would cover multiple years of depreciation (e.g., \$400k+ rolled forward) or sized for the current year only. Kevin clarified he was drawing his question from a Prime Corporate Services education-module worksheet that mentioned wanting to "take advantage of using the standard deduction with using the bonus depreciation."

Jack walked through the analysis with the inactive-CPA off-the-cuff disclaimer in place.

Standard deduction preservation concept

- The standard deduction (approximately \$30,000 for married filing jointly in this tax year — Jack noted "I think it's \$29 something. I think it's \$30") is received regardless of activity
- If taxable income is zeroed out entirely with bonus depreciation under IRC §168(k), there is no income for the deduction to offset
- The deduction is then effectively "wasted" — eligibility is not lost, but the benefit is
- Optimal scenario walked: buy approximately \$370k of equipment, take 100% bonus depreciation, leaving approximately \$30k of income to be naturally offset by the standard deduction
- Worked example: with income of \$400k and equipment of \$400k taking 100% §168(k) bonus depreciation in year one, 100% of gross income is offset, meaning the \$30k standard deduction has no income to apply against — that \$30k is essentially wasted

When itemizing may beat the standard deduction

- High mortgage interest, high property taxes on a primary residence, charitable giving, and other deductions can stack into itemized totals exceeding the standard deduction — sometimes reaching \$50k+
- In those cases, the calculus shifts: more income would be left unsheltered to take full advantage of itemized deductions
- TurboTax and any competent CPA should automatically evaluate standard vs. itemized — Jack characterized this as "such a typical CPA thing to do. That's by no means an advanced tax strategy. That should be baseline for most CPAs"
- One participant asked whether their CPA would automatically catch this; Jack's answer: yes, they should, and if not, it is worth asking explicitly — "Hey, how'd you look at this?"

Income phase-in benefits (compounding upside)

When income is brought down via depreciation, participants phase back into benefits that high earners are normally excluded from:

- SALT (state and local tax) itemized deduction (Jack suggested looking up "itemized SALT deduction phase out" or asking an AI for the basics)
- Child-care expense deductions
- Child-care tax credits
- Mortgage-interest deductibility (which phases out at higher incomes — at sufficiently high income, full deductibility may be lost)
- Lower long-term capital gains rates (which depend on taxable income brackets)
- Various other credits typically reserved for earners around \$100k or less

Jack described this as a "compounding benefit" — beyond the depreciation itself, the strategy regains eligibility for a stack of tax benefits that someone with \$400k pre-strategy income would have phased out of. Hypothetical: if income drops from \$200k to \$150k, suddenly 100% of mortgage interest may be deductible that previously was not. Levers move continuously as income changes. Jack flagged that rules are changing for 2026 in some areas, so the specifics are in flux.

Loan-sizing approaches

- Some participants (Jamie and others) went "buy big, roll forward" — purchasing enough equipment in year one to generate NOLs that flow into future years
- Others prefer smaller, annual loans to right-size each year individually
- Loan processing fees run approximately 3% of loan value (e.g., \$12k on \$400k, \$24k on \$800k) — bigger one-time loan reduces processing friction but commits the participant to a multi-year position

- Jamie reported still waiting on K-1s from prior investments to confirm whether the roll-forward strategy worked as expected — a recurring theme in the call was waiting on K-1s before fully evaluating or finalizing tax strategy
- W-2 earners on the call (including Andrew and Jamie) generally favored the bigger upfront approach for simplicity — Jamie's framing: "I just want to do this once and I'm just going to roll over"
- Braiden's alternative recommendation (referenced from prior calls): do not fully zero out income; either roll losses to future years OR use IRS §168 MACRS depreciation for future years to spread the depreciation more strategically
- One participant shared a cautionary experience: they had planned to take income down only to approximately 12% but realized that approach would force them into MACRS, which did not fit their situation. They ended up taking income to zero. They had expected to use IRC §179 (Section 179), but Indiana state tax rules pushed them into bonus/special depreciation under §168(k) instead — which actually resulted in more money back than projected. Their final view: get as much money as possible upfront, even at the cost of some standard-deduction value; the time-value of cash earlier outweighs the inefficiency

Rates for new loans

Andrew shared his loan-rate negotiation experience: his bank initially quoted 7.15% (same as the previous year), and he was able to negotiate down only marginally after pointing out that other group members were getting closer to 7%. There was a moment of confusion when the loan officer said "I can do seven" — Andrew thought she meant 7.0% but she meant 7.05%, only 10 basis points off the original 7.15%. He is accepting 7.15% rather than refinancing for a 0.35% improvement (which would not make economic sense). Group consensus: most participants are in the 7.15%–7.5% range, and refinancing only makes sense for a half-point to three-quarters-of-a-point improvement. Andrew noted he believes he got one of the better rates in the prior year — most of the group was at 7.5% overall.

Other offsetting income

Jack Tench flagged that bonus depreciation can also offset passive losses, capital gains, or losses from stocks — broadening the use case beyond just W-2 income reduction. This

expands the potential utility of the standard-deduction-preservation concept since other types of income can be left as the "\$30k buffer."

5. Hobby-loss rule (IRC §183) — California-specific concern

Joss Renaud raised this concern during the call:

- California LLCs require a minimum \$800 Franchise Tax Board (FTB) annual fee just to operate
- IRC §183 requires demonstrating profit motive
- The critical wrinkle: profit analysis must exclude tax savings — the IRS wants to see that the underlying business is built for profit on its own economic merits, not just as a tax shelter
- When tax deductions are stripped out — Braiden's profitability math in his scenario snapshots actually includes them — the deal can be negative pre-tax, especially in California with the additional \$800 fee burden
- Joss noted this was raised by someone else in the prior week's call as well, and Braiden's response leaned on big-picture resale economics — but his math still incorporated tax deductions and savings, which is exactly what the hobby-loss rule says must be excluded
- Joss framed this as something he had been "struggling with" and was seeking better answers on

Jack Tench's counterpoint (with off-the-cuff disclaimer)

Jack offered perspective with the explicit caveat that he is an inactive CPA and "this isn't tax advice — consider this like not tax advice. I guess this is just my perspective kind of off the cuff":

- He divided the analysis into two parts: (1) the economic benefit of the arrangement, and (2) the hobby-loss issue specifically
- On economics: factoring in tax savings, related expenses, upfront cash, recapture taxes, etc., his 6-year model still shows approximately 13% return even with 1% property tax — so the deal works as an economic proposition when tax savings are included
- On hobby loss: the IRS typically evaluates over approximately a 5-year period — if losses occur every single year, the IRS may reclassify as a hobby
- Intent matters significantly — equipment owners do demonstrably intend to generate profit, and outcomes depend partly on jurisdictional property-tax variation that is outside the owner's direct control. The fact that property taxes can fluctuate based on where the equipment moves provides a defensible "this is a real business with real variability" argument
- Distinguishable from clear hobby cases. Jack's vivid example: someone who buys a fleet of sports cars, makes no real effort to rent them out, but runs all the expenses through their tax return. The IRS would look at that and say "you clearly just bought these sports cars for your own enjoyment" — fundamentally different from the equipment strategy
- In the equipment strategy there is active rental income, real business expenses, real loan payments, ability to deduct business-related travel (e.g., flying to equipment meetings or visiting equipment), and a real profit motive
- Jack's bottom line: "Even if you were to come out kind of break even or slightly negative due to the property tax piece," the intent around the strategy "would be enough to justify that this is not a hobby"
- Jack acknowledged the conversation really needs Garrett Maughan from Prime Corporate Services to confirm definitively — the group should not rely on his off-the-cuff view

Practical takeaway

The hobby-loss question remains open for California-resident participants. The intent-based defense is plausible but unconfirmed, and the \$800 FTB fee is a real annual drag that needs to be modeled into the pre-tax economics. Joss noted he personally remains unconvinced and is still seeking clarity.

6. Active participation and 100-hours tracking

A late but important point raised toward the end of the call:

- Heavy equipment requires active hours tracking to qualify the activity as active (not passive) for tax purposes — which is what allows §168(k) bonus depreciation to offset W-2 income
- The threshold under Treas. Reg. §1.469-5T(a)(3) (Test 3) is more than 100 hours and not less than any other individual
- Getting those hours in becomes "tricky" if a participant starts late in the year
- Recommendation: if pursuing heavy equipment this year, get started ideally by August so the clock starts in time
- Anyone trying to start after October will have a "really hard time getting it done"
- A related question came up: do the Growth Circle heavy machinery calls themselves count toward active hours? The group's answer: this question has not been formally asked of any tax advisor, and members noted they have gotten "mixed impressions" from CPAs and presenters. One participant's pragmatic take: "It all comes to the audit stuff, right? As long as there are not audited, you're fine. If you are audited, that's when the things go south."

7. Banking and entity structure

Loan-provider options

- **Liberty FCU (Federal Credit Union):** Recommended by EquipmentShare and used by most participants in the prior year. Familiar with the program's underwriting model. Derek noted that traditional banks typically reject new LLCs seeking approximately \$500k loans with no operating history — "walking into a normal bank as a new LLC asking for half a million dollars gets you laughed out the door."

- **Bevel:** Was used in the prior year as a broker to find lenders. Some lenders Bevel connected participants with required banking with them; others did not.

- Liberty does not require banking with them — they prefer it for ease but will send checks to the borrower's own bank account if preferred. Derek emphasized this point because newer participants were confused: "you can have your bank — Liberty sends me a check to my bank."

Banking platforms in use across the group

- **Titan Bank:** Recommended via Genesis Corp for entity-stack banking. Fully online (no physical branches), easy setup, supports the entity structures Genesis builds. New participants are using it but have not yet run many transactions through. One participant described one transaction via Titan as straightforward — pulled the account and routing numbers and plugged them into AngelList for a deal.

- **Horizon:** Used by Vishal and Arcana. Supports self-directed IRA, self-directed 401(k), and checkbook LLC structures with debit/credit cards. Useful for quick deals. Arcana noted she uses Horizon's checkbook LLC capability for instant deal flow.

- **Bluevine:** Used by Arcana for general LLC operating accounts. No physical branch needed; suitable for participants who do not need brick-and-mortar banking. Her stated preference for any LLC she creates herself.

- **Meow:** Newer entrant flagged by another participant. No minimums, no fees, free international wires (versus approximately \$55 per international wire elsewhere). The participant signed up after an intro call with the founder, who reportedly offered to send t-shirts. Concerns about the unconventional name affecting professional perception ("I just wish they changed their name — I don't trust that") but the founder was reportedly a fun personality. The participant is testing them out but has not done much volume yet.

Kevin's unified-banking question

Kevin was specifically trying to find a banking solution that would let him manage venture capital deals, real estate, and heavy machinery all from one app and one login. He lives in a small town with no nearby physical bank branches, so digital-first banks are essential. He also asked whether banks would accept loan applications under a trust structure rather than personal name.

The group's collective response:

- No one has found a single platform that handles all three investment categories cleanly
- Most participants run multiple bank relationships — one for heavy equipment (Liberty/Titan), one for other LLCs (Bluevine/Horizon), personal banking elsewhere
- Trust-based banking is harder — banks are often reluctant to do business under a trust name because it is not a person. One participant created a trust last month but has not yet completed all the LLC-ownership transfers

Entity structure (especially for California residents)

Mixed approaches across the California-based participants:

- Some California residents formed a CA LLC directly for heavy equipment
- Others, advised by Genesis Corp, used a Wyoming holding company plus a Wyoming equipment LLC stack. Christian Bravo (new participant from California) received this recommendation from Genesis and asked the group whether to follow it
- Either way, the \$800–\$850 California franchise tax applies if the entity is doing business in California or owned by a California resident — foreign entity registration is required for out-of-state LLCs operating in CA, which triggers the same fee
- Vishal noted he has three holding companies (one each for venture capital, real estate, heavy equipment) for privacy reasons but does not think it is strictly necessary for the heavy-equipment strategy alone

- The Wyoming approach is mostly about anonymity and privacy, not tax savings — California will collect its \$800–\$850 either way
- One participant who initially considered the Wyoming approach decided against it: "I don't care what people know about me. Like if they want to figure something out, they're going to figure it out"
- Christian's eventual takeaway from the discussion: the holding company for heavy equipment specifically is not really needed — it is a privacy decision more than a tax decision

Outside-California perspective

One Michigan-based participant repeatedly (and good-naturedly) noted that California participants pay \$800/year while Michigan charges approximately \$25. The cost differential is real — across multiple LLCs, California fees add up materially over years, which is why entity-structure decisions matter.

Critical setup principles

- Keep heavy equipment as a solo-member LLC / disregarded entity with a separate loan and separate bank account from any other business or personal activity
- Must track as active hours to allow W-2 income offset eligibility — this is why the entity needs to be cleanly structured
- Once set up, hands-off for 6 years — Liberty auto-schedules loan payments and auto-deposits rental income; the loan itself handles everything, with only approximately \$100–\$150 of residual money movement per cycle depending on loan/equipment size
- Vishal and Arcana's framing: "once you create the setup, you don't have to touch it for six years, except for the tax purpose"
- A warning Braiden has shared previously (referenced from the January New York meeting): he once had over 100 LLCs and the entity fees and complexity became overwhelming — emphasizing the importance of getting the entity structure right from the start rather than fixing it later

8. Salt Lake City event logistics

The Salt Lake City Growth Circle event was a major topic of the call:

- Most attendees felt "pretty dialed in" on extra events and itinerary
- ****Thursday night:**** Ethos hosting a dinner
- ****Friday morning:**** Space Station running a networking event, described as small breakouts
- ****Friday afternoon:**** Happy-hour networking
- ****Saturday (the substantive day):**** Main event content, including live pitches; Highland Steel presenting
- ****Live deal underwriting demo:**** A previously postponed deal pitch (originally scheduled for the prior week or this week) was intentionally delayed so the property owners could present in person at Salt Lake. The plan is for them to walk through the deal and conduct due diligence in real time, giving the group visibility into how the team evaluates investments
- Jack Tench is not attending — his daughter's birthday is that weekend
- ****The group will use Salt Lake as the deadline to corner Garrett Maughan and Braiden Shaw for definitive answers on the property tax issue.**** The Friday group was specifically tagged with this responsibility

Regional meetup planning

Separate from Salt Lake, plans for an Irvine-area meetup:

- The group recently met at one member's club for dinner (Wednesday)

- Matt was supposed to join but had a competing work event
- Next gathering will likely happen on a Wednesday or Thursday at Chris's office in Irvine, geographically convenient for Orange County and Inland Empire participants
- A group text will be set up for coordination

Action items and open follow-ups

Action items (with owners and timing)

- ****Braiden Shaw — procure formal tax-attorney guidance on the BPPT obligation and provide to the group.**** Committed in the chat; deadline implicit (Salt Lake City event is the practical deadline)
- ****Friday Growth Circle group — corner Garrett Maughan and Braiden Shaw at the Salt Lake City event**** for definitive answers on property tax and on whether the heavy-machinery calls themselves count toward \$469 / Test 3 active-participation hours
- ****All participants individually:****
 - Calculate state-specific de minimis thresholds against their own equipment mix
 - Model property-tax impact on their own cash-flow scenarios
 - Pull their EquipmentShare invoice to see how the \$400k is allocated across individual pieces
 - Evaluate sales-tax exposure based on whether EquipmentShare is correctly handling collection and remittance

Open questions (raised but not resolved)

- Whether the Growth Circle heavy machinery calls themselves count toward the 100-hour active-participation requirement under Treas. Reg. §1.469-5T(a)(3)
- The exact transaction structure (sale-leaseback vs. straight purchase) for the equipment
- Who bears audit liability for sales-tax shortfalls if EquipmentShare is audited and assessed
- Whether the IRC §183 hobby-loss pre-tax economic test can be defended on intent grounds alone for the California program participant facts
- Whether a unified banking platform exists that can handle VC, real estate, and heavy equipment in one place
- What the actual jurisdictional rates are state-by-state once specific equipment placements are known

Logistical follow-ups

- The recording will be posted approximately one hour after the call ends
- Search the Growth Circle forum for "BPPT" to find both Jack's centralized thread and Sheryl's thread
- The Salt Lake City event is on the calendar with the Thursday/Friday/Saturday itinerary above
- An Irvine-area regional meetup is being coordinated via group text

Strategic timing reminders

- If pursuing heavy equipment this tax year, get the ball rolling by August so the 100-hour active-participation tracking has time to accumulate
- Starting after October is very difficult — there is not enough runway
- During the first year of a new equipment purchase, no BPPT is owed for that year because the equipment is purchased past January 1 — a small offset against future-year burden

Material participation relevance

For attending program participants operating in the Heavy Machinery program, the following segments of this meeting plausibly count toward an IRC §469 / Treas. Reg. §1.469-5T(a)(3) (Test 3) material-participation hour budget:

****Content that supports material participation**** (entity-specific operational discussion that an active program participant could draw qualifying hours from):

- The BPPT mechanics, compliance obligations, and jurisdictional-detection discussion (Sections 1 and 2 of these minutes) — directly affects every equipment owner's tax-compliance posture; substantively analytical content about how the program's operational structure interfaces with state-level transaction-tax obligations
- Sheryl Flynn's structural critique of the sales-tax exemption / collection mechanics and her correspondence with EZ Equipment Zone (Section 2) — directly applicable to every owner's individual transaction structure; rises to the level of operational due-diligence content
- Jack Tench's financial modeling layering 1% BPPT into the program's standard scenario (Section 3) — entity-specific economic analysis for active operators
- The IRC §183 / California \$800 FTB fee discussion (Section 5) — entity-specific tax-doctrine analysis affecting California-resident program participants
- The active-participation / 100-hour discussion (Section 6) — direct §469 Test 3 mechanics for active program participants
- The Liberty FCU loan-rate sub-discussion in Section 4 and the Liberty/Titan banking specifics in Section 7 — operational management content for active participants with existing financing relationships

****Content that does not support material participation**** (frames as generic program education for investors attending in an exploratory capacity — implicating the §1.469-5T(f)(2)(ii) investor-capacity disqualifier):

- Kevin's loan-sizing question and the related bonus-depreciation-vs-standard-deduction walk (Section 4) — orientation-stage content for a prospective participant; the bonus-depreciation mechanics overview is general program education rather than entity-specific operational discussion
- Christian Bravo's entity-structure question and the broader Wyoming-vs-California holding-company discussion (Section 7) — orientation-stage for a new participant; the structural-decision discussion is broadly applicable program education
- The Salt Lake City event logistics and the Irvine regional meetup discussion (Section 8) — administrative and social-networking content rather than operational management

****Apportionment principle.**** Most weekly networking meetings combine entity-specific operational content with general program education and orientation discussion. The apportionment decision is for each attendee's individual journal entry, with reference to the segment-by-segment breakdown the minutes provide. Doctrinal precedent from prior weekly meetings supports a split-classification approach where entity-specific portions get full material-participation credit and orientation-style portions are conservatively excluded under the investor-capacity disqualifier.

Cross-references

- Sheryl Flynn's Growth Circle forum thread on sales and property tax, including her emailed correspondence with EZ Equipment Zone (Matt's response on behalf of EZ)
- Jack Tench's Growth Circle forum thread titled "Heavy Machinery Property Taxes (BPPT)" — centralized BPPT discussion, including Jack's direct question to Braiden Shaw and his preliminary modeling

- Tuesday call (2026-05-19, immediately preceding) where Vishal originally raised the property-tax question and Braiden's facial reaction suggested unfamiliarity with the issue
- The audit-defensible minutes of the 2026-05-15 Friday networking meeting — establishes the doctrinal precedent for material-participation segment-by-segment classification on the weekly Friday meetings
- The audit-defensible minutes of the 2026-05-14 Monthly Tax Call — including Garrett Maughan's panel-level guidance on IRC §465 at-risk / California community-property
- The Bryant Jensen program-level opinion letter — referenced indirectly in the BPPT discussion as the source of the formal guidance Braiden has committed to providing on BPPT (Braiden indicated the tax attorneys who wrote that letter would be the source of the property-tax opinion)
- Section 8 of the EZ Equipment Zone Platform Agreement — owner responsibility for property taxes, licensing, and registration
- Section 6 of the EquipmentShare / EZ master Asset Management Agreement (AMA) — EquipmentShare's commitment to collect applicable sales and use taxes
- IRC §183 / Treas. Reg. §1.183-2 — hobby-loss rules and profit-motive determination (referenced in Section 5)
- IRC §469 / Treas. Reg. §1.469-5T(a)(3) — material-participation Test 3 (referenced in Section 6)
- IRC §168(k) — bonus depreciation (referenced throughout)
- IRC §179 — Section 179 election (referenced in Section 4)

Data integrity statement

These minutes were authored on Friday, May 22, 2026, immediately following the meeting. Source materials referenced: an exhaustive detailed summary of the call distributed following the meeting, supplemented by two Growth Circle forum threads (Jack Tench's BPPT thread and Sheryl Flynn's sales/property tax thread, the latter including Sheryl's emailed correspondence with EZ Equipment Zone and Matt's response on behalf of EZ).

Named attributions are taken from the source material. Where the source identifies participants only by first name (Kevin, Andrew, Jamie, Derek, Vishal, Arcana, Matt, Reid, Chris), last names have not been supplied unless verifiable from cross-referenced material (Sheryl Flynn and Jack Tench's last names verified via the GC forum thread byline; Christian Bravo's full name preserved as given in the source). The facilitator is recorded as Ben Oliver based on the standing Friday-meeting convention — the source notes do not explicitly identify the facilitator and this attribution should be confirmed against the recording.

Numbers and quoted phrases are preserved verbatim from the source where possible. Where the source used approximations ("approximately \$25k," "around 13%"), the minutes preserve those approximations. Where the source referenced specific code sections, dollar amounts, or threshold amounts, those are recorded as stated.

Known gaps and notes:

- The source notes contain conflicting pronouns for "Vishal/Arcana" — these minutes treat them as two separate participants based on later passage attribution (Vishal as male, Arcana as female) but flag that the source treats them inconsistently in some passages
- The 1% BPPT assumption in Jack Tench's modeling is preserved as his stated working assumption; the actual jurisdictional rate variation could be materially higher or lower in specific cases (Jack's own forum example cited counties in Texas at approximately \$7,000 BPPT on a \$400k piece of equipment, which is well above his 1% modeling assumption)
- The source's hour-by-hour timing is approximate; "approximately 60 minutes" is a working estimate
- The source consistently uses "Easy Equipment Zone" and "EZ Equipment Zone" interchangeably; these minutes use "EZ Equipment Zone" per the formal entity name in Sheryl's correspondence
- The California franchise-tax fee is referenced in the source as both \$800 (in the §183 discussion) and \$850 (in the entity-structure discussion); these minutes preserve both figures as cited

This is a working contemporaneous record, not a verbatim transcript. A corrected version would be triggered by: (1) the recording becoming available and revealing material attribution errors, (2) Braiden Shaw's promised tax-attorney guidance on BPPT producing a different doctrinal conclusion than the working interpretations reflected in these minutes, or (3) any participant flagging a misattribution or factual error after these minutes are circulated.

These minutes are intended to be shareable across the Growth Circle Heavy Machinery community as an audit-defensible record of the meeting's substantive content. They should be paired with each attending participant's own private downstream journal entry that documents their individual participation, classification decision, and any operational decisions taken on the basis of the meeting.